IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH
(through web-based video conferencing platform)

CA (CAA) No.9/ALD/2022
(First Motion)
Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

Epack Components Private Limited
having its Registered Office at
61-B, Udyog Vihar, Surajpur, Kasna Road,
Greater Noida, Gautam Buddha Nagar, Uttar Pradesh - 201306
PAN: AAFCE4760R
CIN: U74999UP2019PTC115950
……First Applicant Company / Transferor Company

And

Epack Durable Private Limited
having its Registered Office at
61-B, Udyog Vihar, Surajpur, Kasna Road,
Greater Noida, Gautam Buddha Nagar, Uttar Pradesh - 201306
PAN: AAFCE4759E
CIN: U74999UP2019PTC116048
……Second Applicant Company / Transferee Company

Order delivered on: 21.02.2023

Coram: Hon'ble Mr. Praveen Gupta, Member (Judicial)

Hon'ble Mr. Ashish Verma, Member (Technical)

Present through Video Conferencing: -

For the Applicant Companies : Mr. Saurabh Khanna, Mr. Saurabh Kumar and Mr. Aniket Chatterjee, Advs.

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Per: Praveen Gupta, Member (Judicial)

ORDER

1. This is a joint First Motion Application filed by the Applicant Companies namely; **Epack Components Private Limited** (First Applicant Company / Transferor Company)and **Epack Durable Private Limited**(Second Applicant Company / Transferee Company)under Section 230-232 of the Companies Act, 2013 (the 'Act') and other applicable provisions of the Act read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (the 'Rules') in relation to the Scheme of Amalgamation between the Applicant Companies and their respective Shareholders and Creditors (the 'Scheme'). The said Scheme is attached as **Annexure A** with the Application.

2. The Applicant Companies have prayed for dispensing with the requirement for convening the Meetings of the Equity Shareholders of the First Applicant Company / Transferor Company and Second Applicant Company / Transferee Company and Meetings of the Preference Shareholders of the Second Applicant Company / Transferee Company. It is stated in the Application that there are no Preference Shareholders in the First Applicant Company / Transferor Company. It is further prayed to convene the meetings of the Unsecured Creditors and Secured Creditors of both First Applicant Company / Transferor Company and the Second Applicant Company / Transferee Company.

3. The First Applicant Company/ Transferor Company is a 'Private Limited Company' incorporated under the Companies Act, 2013 and is engaged in the business of manufacturing of electronic consumer durable items. The First Applicant Company / Transferor Company is the wholly owned Subsidiary Company of the Second Applicant Company / Transferee Company.

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4. The Second Applicant Company / Transferee Company is a 'Private Company' incorporated under the Companies Act, 2013 and is engaged in the business of manufacturing electronic consumer durable items. The Second Applicant Company / Transferee Company is the Holding Company of the First Applicant Company / Transferor Company as mentioned below:-

Sr. No.	**Details of Investment held in Transferor Company**	**Status**
1.	**Epack Components Private Limited** (Transferor Company) 3,16,48,363 Equity Shares of Rs. 10/- each (constituting 100% of Total Equity Share Capital);	Wholly Owned Subsidiary Company

5. It is submitted that the Registered Offices of the Applicant Companies are situated in Greater Noida, State of Uttar Pradesh, therefore, the territorial jurisdiction of the Applicant Companies lie with this Bench.

6. The rationale of the Scheme is given below:-

(i) The Scheme would consolidate the activities of the Transferor Company and the Transferee Company, which are complimentary to each other and thereby the consolidated entity would lead to reduction in risks and increasing the rewards therefrom, attracting strategic partners, contributing towards efficient management of the businesses and resulting in cost reduction, higher revenues, profitability and market share and ultimately create long term shareholder value;

(ii) Pooling of assets, proprietary information, personnel, financial, managerial and technical resources of the Transferor Company with the

Transferee Company, thereby contributing to strong brand presence in the area of manufacturing of electronic durables;

(iii) Simplification of group structure and management structure would lead to better administration, more focused operational efforts, rationalization, standardization, simplification of business processes, thereby increasing the rewards and contribute towards better internal controls and management;

(iv) Reduce multiplicity of legal and regulatory compliances, administrative and record keeping by Transferor Company, thereby resulting in cost savings.

7. It is stated that the Board of Directors of the First Applicant Company/ Transferor Company and Second Applicant Company/ Transferee Company in their respective meetings held on April 12, 2022 & on November 25, 2022 and April 26, 2022 & November 25, 2022 respectively have considered and unanimously approved the Scheme of Amalgamation subject to sanctioning of the same by this Tribunal. The copies of the Board Resolutions of the Applicant Companies are attached as **Annexures G and Q** respectively to the First Motion Application (hereinafter **"Application"**).

8. The Appointed Date of the Scheme is 1st April, 2022 as mentioned in the Scheme of Amalgamation, Annexure A.

9. It is stated that the First Applicant Company/ Transferor Company and Second Applicant Company / Transferee Company have filed the Audited Financial Statements as on 31st March, 2022 which are attached as **Annexures D and N** respectively to the Application.

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10. It is further stated that the Applicant / Transferor Companies and Applicant / Transferee Company have also filed the Interim Financial Statements for the period ended 24th November, 2022which are attached as **Annexures E and O** respectively to the Application.

11. It is submitted that no corporate debt restructuring is envisaged in the proposed Scheme of Amalgamation.

12. It is further submitted that in pursuance of proviso to Section 230 (7) and Section 232 (3) of the Act, the Applicant Companies have filed the certificates dated 06th May, 2022 issued by the Statutory Auditors of the respective Applicant Companies certifying that the accounting treatment proposed in the Scheme is in compliance with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 and the same is attached as **Annexure W (colly)** to the Application.

13. It is submitted by the learned Counsel that the Scheme of Amalgamation, **Annexure A** also takes care of the interests of the staff, workers and employees of the Applicant Companies, as provided under Part C (D)(5), Part C (E)(1) and Part C (E)(2) of the Scheme.

14. The Authorised Representative of the Applicant Companies has deposed by way of affidavit that there are no inspection, inquiry, investigations or legal proceedings pending against the Applicant Companies under Section 210 to 227 of the Companies Act, 2013 and Section 235 to 251 of the Companies Act, 1956 and other applicable provisions of the Companies Act, 1956/2013.The aforesaid Affidavit of the Authorised Representative of the Applicant Companies is filed at **Page 110 and 119**, respectively, of the Application.

15. The Applicant Companies have furnished the following documents :-

(i) Proposed Scheme of Amalgamation (**Annexure A** of the Application).

(ii) Master Data, Certificate of Incorporation along with Memorandum and Articles of Association of the Applicant Companies (**Annexures B, C, L and M** respectively of the Application).

(iii) List of Equity Shareholders of the First Applicant Company/ Transferor Company and Second Applicant Company / Transferee Company as on 24th November, 2022 (**Annexure H and R** respectively of the Application).

(iv) List of Preference Shareholders of the Second Applicant Company / Transferee Company as on 24th November, 2022 (**Annexure S** of the Application).

(v) Consent Affidavits of Equity Shareholders of the First Applicant Company / Transferor Company and Second Applicant Company / Transferee Company (**Annexure I and T** respectively of the Application).

(vi) Consent Affidavits of the Preference Shareholders of the Second Applicant Company / Transferee Company (part of **Annexure T** (Page no. 511) of the Application).

(vii) List of Creditors of the First Applicant Company / Transferor Company and the Second Applicant Company / Transferee Company as on 24thNovember, 2022 duly certified by the Chartered Accountants (**Annexures J, K, U and V** of the Application).

(viii) Certificates of the Statutory Auditors of the Applicant Companies to the effect that the Accounting treatment proposed in the Scheme is in conformity with the provisions of Section 133 of the Companies Act, 2013 (**Annexure W** respectively of the Application).

(ix) Audited Financial Statements as on 31st March, 2022 of the Applicant Companies (**Annexures D and N** respectively of the Application).

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(x) Interim Financial Statements for the period ended 24thNovember, 2022 of the Applicant Companies (**Annexures E and O** respectively of the Application).

(xi) Certified true copies of the List of Directors of the Applicant Companies as on 24thNovember, 2022 (**Annexure F and P** respectively of the Application).

(xii) Certified true copies of the Board Resolutions of the Applicant Companies dated April 12, 2022, April 26, 2022 and November 25, 2022 (**Annexures G and Q** respectively of the Application).

(xiii) Affidavits of the Applicant Companies under Section 230(2) of the Companies Act, 2013 certifying that there are no legal proceedings pending against the Applicant Companies are at **Page 110 and Page 119** of the Application.

(xiv) Confirmation to the effect that the Applicant Companies are not governed by any specific Sectoral Regulator is given in **Para 38** of the Application which is supported by an Affidavit of the Applicant Companies.

16. The Applicant Companies have furnished the details of the Equity Shareholders, Preference Shareholders, Secured and Unsecured Creditors as follows:

Name of the Applicant Companies	**Shareholders along with their consents on affidavit**		**Creditors along with their consents on affidavit**			
	Equity Shareholders	**Consents submitted on affidavit**	**Secured Creditors**	**Consents submitted on affidavit**	**Unsecured Creditors**	**Consents submitted on affidavit**
Epack Components Private Limited (First Applicant Company/Transferor Company)	2 (Two)	All (100%)	1 (One)	None (0%) Meeting to be convened	57 (Fifty Seven)	None (0%) Meeting to be convened

Epack Durable Private Limited (Second Applicant Company/ Transferee Company No. 2)	23 (Twenty Three)	All (100%)	7 (Seven)	None (0%) Meeting to be convened	293 (Two Hundred and Ninety Three)	None (0%) Meeting to be convened

Name of the Applicant Companies	**Preference Shareholders along with their consent on affidavit**	
	No. of Preference Shareholders	**Consents submitted on affidavit**
Epack Components Private Limited (First Applicant Company / Transferor Company)	N.A.	N.A.
Epack Durable Private Limited (Second Applicant Company / Transferee Company)	3 (Three)	All (100%)

17. Accordingly, the directions of this Bench in the present case are as under:-

I. <u>In relation to First Applicant Company/Transferor Company</u>:

(a) The meeting of the Equity Shareholders is dispensed with keeping in view the shareholding and ownership pattern of the company and the fact that the consent by way of affidavits have been received from all the 02 (two) Equity shareholders holding 100% Equity share capital of the First Applicant Company / Transferor Company;

(b) There are no Preference Shareholders of the First Applicant Company / Transferor Company, as such, the question of issuing directions for convening / dispensing the meeting of the Preference Shareholders of the First Applicant Company / Transferor Company does not arise;

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(c) The meeting of the Unsecured Creditors of the First Applicant Company / Transferor Company shall be convened as prayed for on **Saturday, 8st April, 2023 at 11:00 A.M.** at the Registered Office of the Company at 61-B, Udyog Vihar, Surajpur, Kasna Road, Greater Noida, Gautam Buddha Nagar, Uttar Pradesh– 201306, either in physical mode or through videoconferencing. The quorum of the meeting of the Unsecured Creditors shall be 2 in number or 10% in value of the Unsecured Creditors. For computing the quorum, Unsecured Creditors present through valid proxy shall also be considered.

(d) The meeting of the Secured Creditors of the First Applicant Company / Transferor Company shall be convened as prayed for on **Saturday, 8st April, 2023 at 02:00 P.M.** at the Registered Office of the Company at 61-B, Udyog Vihar, Surajpur, Kasna Road, Greater Noida, Gautam Buddha Nagar, Uttar Pradesh– 201306, either in physical mode or through video conferencing. For computing the quorum, Secured Creditor present through valid proxy shall also be considered.

II. <u>In relation to Second Applicant Company/ Transferee Company</u>:

(a) The meeting of the Equity Shareholders is dispensed with keeping in view the shareholding and ownership pattern of the company and the fact that the consent by way of affidavits have been received from all 23 (twenty-three) Equity shareholders holding 100% Equity share capital of the Second Applicant Company/ Transferee Company;

(b) The meeting of the Preference Shareholders is dispensed with keeping in view the shareholding and ownership pattern of the company and the fact that the consent by way of affidavits have been received from all the 03 (three) Preference Shareholders holding

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100% Preference share capital of the Second Applicant Company/ Transferee Company;

(c) The meeting of the Unsecured Creditors of the Second Applicant Company / Transferee Company shall be convened as prayed for on **Sunday, 9th April, 2023 at 11:00 A.M.** at the Registered Office of the Company at 61-B, Udyog Vihar, Surajpur, Kasna Road, Greater Noida, Gautam Buddha Nagar, Uttar Pradesh – 201306, either in physical mode or through videoconferencing. For computing the quorum, Unsecured Creditors present through valid proxy shall also be considered.

(d) The meeting of the Secured Creditors of the Second Applicant Company / Transferee shall be convened as prayed for on **Sunday, 9th April, 2023 at 02:00 P.M.** at the Registered Office of the Company at 61-B, Udyog Vihar, Surajpur, Kasna Road, Greater Noida, Gautam Buddha Nagar, Uttar Pradesh – 201306, either in physical mode or through video conferencing. For computing the quorum, Unsecured Creditors present through valid proxy shall also be considered.

(e) In case the required quorum as noted above for the meetings is not present at the commencement of the meeting, the meeting shall be adjourned by 30 minutes and thereafter the creditor(s) present and voting shall be deemed to constitute the quorum.

III. Mr. Krishna Dev Vyas, Address: 20/22 Thornhill Road, Allahabad-211001; Mobile No. 9554476543, email id: krishnavyas16@gmail.com is appointed as the Chairperson for the meetings to be called under this order. An amount of Rs. 1,00,000/- (Rupees One Lakh only) be paid for services as Chairperson. The Chairperson shall have all other powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

read with the other applicable rules and provisions in relation to conduct of the meetings, including for deciding procedural questions that may arise at the meeting(s) or at any adjournment thereof, or any other matter relating to the meetings, including an amendment to Scheme of Amalgamation, if any, proposed by any persons.

IV. **Mr. S.K. Gupta CS**, Address: 9, Roland Complex, Upper Floor, 37/17 Westcott Building, The Mall, Kanpur-208001, Mobile No.9415042137, email id:skgupta1903@gmail.com is appointed as the Scrutinizer for the above meetings to be called under this order. An amount of Rs. 75,000/- (Rupees Seventy-five thousand only) be paid for the services as Scrutinizer.

V. Apart from the above remuneration, the Applicant Companies shall make necessary and proper arrangements for travel / transport, stay and other allied expenses.

VI. It is further directed that individual notices of the said meetings shall be sent by the Applicant Companies through registered post or speed post or through courier or e-mail, at least 30 (Thirty)days in advance before the scheduled date of the meeting, indicating the day, date, the place and time as aforesaid, together with a copy of the Scheme, copy of the Explanatory Statement, form of proxy and documents required to be sent under the Companies Act, 2013 and the applicable Rules made thereunder.

VII. It is further directed that along with the notices, the Applicant Companies shall also send, statements explaining the effect of the Scheme on the creditors, shareholders, key managerial personnel, promoters and non-promoter members, etc. along with the effect of the Scheme of

Amalgamation on any material interests of the Directors of the Applicant Companies provided under sub-section (3) of Section 230 of the Act.

VIII. It is further directed that the provisional Accounting Statement of the Applicant Companies be also circulated along with the Notice of the aforesaid meetings in terms of Section 232(2)(e) of the Companies Act,2013.

IX. That the Applicant Companies shall publish an advertisement at least 30 (Thirty) clear days before the aforesaid meetings, indicating the day, date and place and the time of the meeting as aforesaid, to be published in "Financial Express"(English) and "Jansatta" (Hindi) both having wide circulation in Gautam Buddha Nagar District, Uttar Pradesh. It shall be stated in the advertisement that the copies of "Scheme", the Explanatory Statement required to be furnished can be obtained free of charge at the registered office of the Applicant Companies pursuant to Section 230 to 232 of the Act. The Applicant Companies shall also host the notice on the website of the Applicant Companies, if any.

X. It shall be the responsibility of the Applicant Companies to ensure that the notices are sent under the signature and supervision of the authorized representative of the Applicant Companies on the basis of Board resolutions and that they shall file their affidavits in the Tribunal at least 7(Seven)days before the date fixed for the meetings.

XI. The remote e-voting facility shall be provided to the Secured Creditors and Unsecured Creditors of the Applicant Companies in addition to the poll to be conducted at the venue of the respective Meetings and the cut-off date for the purpose of determining the eligibility of the Secured Creditors and

Unsecured Creditors to vote by electronic means and poll at the venue of the meeting shall be the latest practicable date which shall not be not less than 30 (Thirty) days before the date of the meeting and the procedure for voting through remote e-voting and poll at the venue of the meeting shall be in so far as the same is prescribed by the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014.

XII. All the meetings shall be held physically or through videoconferencing and voting shall be conducted through poll by polling paper or e-voting facility and the Secured and Unsecured Creditors present in person or by proxy shall be entitled to vote threat. Subject to the directions and matters dealt with herein, the procedure for remote e-voting and voting by polling paper at the venue of the meeting shall be in so far as the same is prescribed by the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014, Secretarial Standards on General Meetings and the forms prescribed thereunder shall be followed with such variations as may be required in the circumstances and in relation to the resolution for approval of the Scheme of Amalgamation.

XIII. The Scrutinizer's report will contain his/her findings on the compliance to the directions given in Para VI to XII above.

XIV. The Chairperson shall be responsible to report the result of the meetings to the Tribunal in Form No. CAA-4, as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within 15 (Fifteen) days of the conclusion of the meeting. The Chairperson would be fully assisted by the Authorized Representative/Company Secretary of the Applicant Companies and the Scrutinizer in preparing and finalizing the reports.

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XV. The Applicant Companies shall individually and in compliance of sub-section (5) of Section 230 of the Act and Rule 8 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 send notices in Form No. CAA-3 along with copy of the Scheme, Explanatory Statement and the disclosures mentioned in Rule 6 of the "Rules" to (i) Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (ii) Jurisdictional Registrar of Companies;(iii) Official Liquidator, Allahabad;(iv)Income-Tax Department having jurisdiction over the Applicant Companies by mentioning the PAN number of the Applicant Companies and to such other Sectoral Regulator(s) governing the business of the Applicant Companies, if any, stating that report on the same, if any, shall be sent to this Tribunal within a period of 30 (Thirty) days from the date of receipt of such notice and copy of such report shall be simultaneously sent to the Applicant Companies, failing which it shall be presumed that they have no objection to the proposed Scheme.

XVI. The Applicant Companies shall furnish a copy of the Scheme free of charge within one day of any requisition for the Scheme made by any Creditor or Shareholder entitled to attend the meeting as aforesaid.

XVII. The Authorized Representative of the Applicant Companies shall furnish an Affidavit of Service of Notice of Meetings and publication of advertisement and compliance of all directions contained herein at least 7 (Seven) days before the date fixed for the meetings.

XVIII. All the aforesaid directions are to be complied with strictly in accordance with the applicable laws including forms and formats contained in the

Rules as well as the provisions of the Companies Act, 2013 by the Applicant Companies.

18. With the aforesaid directions, this First Motion Application stands disposed of. A copy of this order be supplied to the learned Counsel for the Applicant Companies who in turn shall supply a copy of the same to the Chairperson and the Scrutinizer immediately.

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(ASHISH VERMA)
Member (Technical)

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(PRAVEEN GUPTA)
Member (Judicial)

Aditi Kharbanda (LRA)

February 21st, 2023